FLEXIBLE NAVIGATION

DEFT MOVEMENT ACROSS MARKET CAPITALISATION WITHIN EQUITIES CAN MAKE YOUR INVESTMENT RETURNS PROFITABLE IRRESPECTIVE OF MARKET MOVEMENTS

The role of an all-rounder in cricket is gaining popularity, particularly in the shorter formats of the game. These players excel in both batting and bowling, making a noticeable impact and contributing immensely in each role. More teams are increasingly relying on these versatile players for success. Similarly, in the world of mutual fund investments, flexi-cap funds play a comparable role. According to SEBI guidelines, flexi-cap funds are equity funds that have the flexibility to invest across different market capitalisations, provided they allocate at least 65 per cent of their assets to equity and related instruments.

Fund managers have the discretion to allocate across large-cap, mid-cap, and small-cap stocks, allowing for a dynamic and flexible asset allocation. Investors seeking growth through equities will understand that this asset class has its own dynamics and complexities (see *Cycles of Gain*). The way each segment of the market performs makes it a challenge to categorise the equity asset class as a single entity. Over the past seven years, each segment of the market has fared differently. For instance, in 2019, when the small-cap index was down 10 per cent, the large-cap segment was up 10 per cent.

Cut to 2023, the large-cap index was up 20 per cent and the mid-cap index was twice that much with a 40 per cent gain.

CYCLES OF GAIN

	MARKET PERFORMANCE		
YEAR	LARGE CAP	MID CAP	SMALL CAP
2019	+10.16%	-0.25%	-9.88%
2020	+14.82%	+24.45%	+25.27%
2021	+24.88%	+45.62%	+56.19%
2022	+2.52%	+1.27%	-3.28%
2023	+19.36%	+39.88%	+44.67%
2024	+10.6%	+25.21%	+23.35%
2025*	+4.65%	+0.35%	-4.63%

Source: BSE, *Till Oct. 6, 2025; large cap (BSE100 Large Cap Index TMC), mid cap (BSE150 Mid Cap Index) and small cap (BSE250 Small Cap Index)

For any investor, the performance of their investments can change dramatically depending on the allocation made to each of these equity segments. For instance, if you had invested Rs 100 in a flexi-cap scheme, it would have internally divided this among Rs 40 allocated to mid-cap and the remaining Rs 60 equally between large- and small-cap as of January 1, 2025. Over the past 10 months, the value of the investment may appear to be static. However, if the same investment were divided 50-50 into large- and mid-cap stocks, the result would be an overall 2.5 per cent gain.

The flexi-cap fund's ability to adapt to changing market movements makes it attractive. The role of the fund manager, especially the investment strategy on which the fund bases its allocation across market capitalisation, is key to the performance of this category of equity funds. Beyond the capitalisation, funds that have established their investment allocation to select sectors also play a role in the fund's performance.

As fund managers managing these funds have greater flexibility to diversify within the equity asset class, these funds are better equipped to manage volatility. Think of these funds as all-weather, as fund managers may shift allocations towards large-cap stocks for relative stability in times of uncertainty and increase exposure to mid- and small-cap stocks for higher potential returns during bullish phases. While there may be phases when you may feel nothing much is happening, the performance of these funds in 2021 and 2023, when overall equities were up, could be significantly high because of a higher allocation to small-caps.

Having exposure to these funds can work favourably for your overall portfolio growth. You also have the flexibility to benefit whenever equities gain from the allocation made by these funds within the equity category. If there is one fund that you should consider in your portfolio for long-term growth, the flexi-cap category could be the one that would work in your favour over different market cycles.